

Formal Legal Notice

1. Introduction

This Formal Legal Notice ("Notice") is issued by counsel for the Claimant, **Apex Global Innovations Inc.** (hereinafter "Claimant"), a corporation duly organized and existing under the laws of the State of Delaware, with its principal place of business at 1200 Innovation Drive, Suite 400, Wilmington, Delaware 19801, United States of America.

This Notice is directed to **Zenith Distribution Networks Co., Ltd.** (hereinafter "Respondent"), a company organized and existing under the laws of the United Kingdom, with its registered office at 45 King William Street, London, EC4R 9AN, United Kingdom.

The purpose of this Notice is to formally apprise the Respondent of certain material breaches of contractual obligations, to demand specific remedial actions, and to provide notice of potential legal proceedings should such demands remain unfulfilled.

2. Factual Background

On or about **March 15, 2024**, the Claimant and the Respondent entered into a written agreement titled "International Supply and Distribution Agreement" (the "Agreement"), a copy of which is attached hereto as Exhibit A. Pursuant to the Agreement, the Claimant agreed to manufacture and supply 50,000 units of proprietary software-enabled hardware devices ("Products") to the Respondent, who, in turn, agreed to exclusively distribute these Products within the European Economic Area (EEA) and to make timely payments in accordance with a fixed schedule.

Specifically, Clause 4.2 of the Agreement required the Respondent to make an initial advance payment of Euros **1,500,000** (One Million Five Hundred Thousand Euros) upon execution, followed by quarterly payments of Euros **750,000** commencing on **June 15, 2024**.

Further, Clause 7.1 mandated that the Respondent provide quarterly sales performance reports to the Claimant within 15 days of the end of each calendar quarter, detailing inventory levels, units sold, and market penetration data.

Clause 11.3 of the Agreement explicitly prohibits the Respondent from assigning, delegating, or otherwise transferring any rights or obligations under the Agreement to any third party without the prior written consent of the Claimant.

3. Allegations of Breach

Based upon a thorough review of the Claimant's records and communications, the Claimant herein alleges that the Respondent has committed multiple material breaches of the Agreement, as follows:

3.1. Breach of Payment Obligations

The Respondent paid the initial advance of Euros **1,500,000** on time. However, the Respondent failed to make the first quarterly payment of Euros **750,000**, which was due on **June 15, 2024**.

Despite repeated written demands, including a formal reminder sent via registered mail on **July 10, 2024**, and subsequent emails dated **August 1, 2024**, and **September 5, 2024**, the Respondent has neither remitted the overdue amount nor provided a credible explanation for its default.

As of the date of this Notice, the total outstanding principal amount due and owing under the Agreement is Euros **750,000**.

This failure constitutes a material breach of Clause 4.2 and Clause 10.1 of the Agreement, which defines non-payment as an event of default.

3.2. Breach of Reporting Obligations

In addition to the financial default, the Respondent has failed to provide the quarterly sales performance reports required under Clause 7.1 of the Agreement for the periods ending **June 30, 2024**, and **September 30, 2024**.

On **October 12, 2024**, the Claimant's Director of Operations, Mr. James Sterling, sent an email to the Respondent's Managing Director, Ms. Eleanor Vance, reiterating the reporting requirement. To date, no reports have been received.

This failure to report constitutes a separate and continuing material breach of the Agreement, hindering the Claimant's ability to manage its own production and supply chain planning.

3.3. Breach of Non-Assignment Clause

The Claimant has recently discovered, through independent market research and third-party reports, that the Respondent appears to have assigned its distribution rights and obligations under the Agreement to an entity known as "EuroTec Logistics GmbH," a company registered in Germany, without having obtained the prior written consent of the Claimant.

The Claimant believes this assignment occurred on or about **August 20, 2024**, when the Respondent began directing its logistics operations through EuroTec Logistics GmbH. Confirmation of this assignment was obtained via a public filing with the German Commercial Register on **September 25, 2024**.

This action is a clear and direct breach of Clause 11.3 of the Agreement.

4. Legal Basis and References

The Claimant's rights and the Respondent's obligations are grounded in the following legal foundations:

- **Contract Law (General Principles):** The Agreement constitutes a legally binding contract between two commercial entities. The Respondent's failure to perform its obligations constitutes a breach of contract, entitling the Claimant to remedies including specific performance, damages, and termination.
- **Applicable Governing Law:** Clause 18.1 of the Agreement stipulates that the Agreement shall be governed by and construed in accordance with the laws of the State of New York, United States of America, without regard to its conflict of laws principles.
- **Jurisdiction:** Pursuant to Clause 18.3 of the Agreement, any dispute arising out of or in connection with the Agreement shall be finally settled under the Rules of Arbitration of the International Chamber of Commerce (ICC) by one or more arbitrators appointed in accordance with those Rules. The seat of arbitration shall be London, United Kingdom, and the language of the arbitration shall be English.
- **Statutory References:** The Claimant relies upon the Uniform Commercial Code (UCC) as adopted in New York, particularly Articles 2 (Sales) and 2A (Leases), as well as common law principles concerning anticipatory repudiation and material breach.

5. Formal Demands

In light of the foregoing allegations and legal basis, the Claimant, through its undersigned legal counsel, hereby makes the following formal demands upon the Respondent:

1. **Payment of Outstanding Amount:** The Respondent shall remit full payment of Euros **750,000**, representing the overdue quarterly payment, plus accrued interest at the contractual rate of **1.5%** per month from **June 15, 2024** until the date of full payment.

2. **Delivery of Reports:** The Respondent shall deliver all overdue quarterly sales performance reports for the periods ending **June 30, 2024**, and **September 30, 2024**, in the format prescribed by Exhibit B to the Agreement.
3. **Cessation of Unauthorized Assignment:** The Respondent shall immediately cease and desist from any and all activities related to the unauthorized assignment of its rights and obligations under the Agreement to EuroTec Logistics GmbH or any other third party. The Respondent shall provide a written undertaking, signed by its authorized officer, confirming its compliance with this demand within 10 days of receipt of this Notice.
4. **Indemnification:** The Respondent shall indemnify and hold harmless the Claimant for all costs, expenses, and damages incurred as a result of the Respondent's breaches, including but not limited to legal fees, administrative costs, and losses related to the unauthorized assignment.

6. Deadline and Consequences of Non-Compliance

All of the demands set forth in Section 5 above must be satisfied in full no later than **5:00 PM (EST) on January 31, 2025** (the "Deadline").

Should the Respondent fail to comply with any of these demands by the Deadline, the Claimant reserves the right, without further notice, to:

- Terminate the Agreement with immediate effect.
- Initiate ICC arbitration proceedings against the Respondent to seek damages, specific performance, and all other relief available under New York law and the ICC Rules.
- Seek an interim or conservatory measure from a competent state court or emergency arbitrator, including injunctive relief to prevent further dissipation of assets or unauthorized assignments.
- Claim all costs of such proceedings, including but not limited to arbitration fees, legal fees, expert witness fees, and administrative expenses.

7. Reservation of Rights

The Claimant expressly reserves all rights, claims, and remedies available to it under the Agreement, at law, or in equity. This Notice is not intended to be an exhaustive statement of all breaches or defaults by the Respondent, and the Claimant reserves the right to amend or supplement these allegations as additional information comes to light.

Nothing contained in this Notice shall be construed as a waiver of any rights or remedies the Claimant may have, including without limitation the right to seek relief for any breach not specifically mentioned herein.

8. Signatures

Notice Signatures

For the Claimant	For the Respondent
Attorney-in-Fact for Apex Global Innovations Inc. Name: Harold J. Finch Title: Senior Partner, Finch & Associates LLP Address: 200 Park Avenue, 15th Floor, New York, NY 10166, USA Email: h.finch@finchlaw.com Phone: +1 (212) 555-0199 Date: January 15, 2025	_____ Authorized Signatory for Zenith Distribution Networks Co., Ltd. Name: Eleanor Vance Title: Managing Director Address: 45 King William Street, London, EC4R 9AN, UK Email: e.vance@zenithdist.co.uk Date: _____

Attachments:

- Exhibit A: International Supply and Distribution Agreement (dated March 15, 2024)
- Exhibit B: Format for Quarterly Sales Performance Reports
- Exhibit C: Copies of Payment Demands (dated July 10, 2024; August 1, 2024; September 5, 2024)
- Exhibit D: Email Correspondence re: Reporting Obligations (dated October 12, 2024)
- Exhibit E: German Commercial Register Filing (Entry No. 2458/2024, dated September 25, 2024)